Tax guide specifically for first-year US grad students with fellowships and stipends — Action Checklist

PRINT THIS PAGE AND KEEP IT SOMEWHERE VISIBLE

DECODE YOUR FUNDING SOURCES

- ☐ **Decode Your Funding:** Pull your funding offer letter and label each line item as Fellowship, Stipend, or Salary to determine exactly how the IRS will treat every payment you receive from your university.
- ☐ **Clarify Stipend Taxability:** Confirm that your living expense stipends count as fully taxable income regardless of what your department labels them, since the IRS focuses on substance rather than terminology.
- ☐ **Get Your 1098-T:** Log into your university's student portal and download your 1098-T form for the tax year in question, recognizing that this document only reports tuition charges and not your taxable stipend income.
- ☐ **Check FICA Withholding:** Determine whether your RA or TA paycheck includes a tuition waiver component, since some universities fail to withhold FICA on waived tuition and you may owe self-employment tax on that portion later.

CALCULATE FEDERAL AND STATE TAXES

- ☐ **Calculate Fellowship Taxability:** Subtract your qualified tuition and required fees from your total fellowship award amount to find the actual taxable portion of that income.
- ☐ **Apply Federal Brackets to Stipend:** Add all your taxable stipend income to your federal tax return using standard bracket calculations, since stipends function as ordinary income taxed at your marginal rate.
- ☐ **Research Your State Tax Rules:** Investigate your specific state's treatment of fellowship and stipend income because state rules vary dramatically and most first-year grad students underpay state taxes significantly.
- ☐ **Project Your Tax Liability:** Estimate your total annual taxable income by combining all stipend and salary sources, then apply both federal and state rates to avoid being surprised at filing time.

SET UP PAYMENTS AND DEDUCTIONS

- ☐ **Determine Quarterly Payment Requirements:** Calculate whether you owe quarterly estimated tax payments by checking if your tax liability will exceed one thousand dollars after subtracting withholding from your paycheck.
- ☐ **Open a Tax Savings Account:** Create a dedicated savings account and deposit fifteen to twenty percent of each stipend payment into it throughout the year so you have funds available when taxes are due.
- ☐ **Document Eligible Deductions:** Track your out-of-pocket expenses for required supplies, professional memberships, and software purchases that qualify as deductible educational expenses on your return.
- ☐ **Review Education Tax Benefits:** Check IRS Publication 970 to identify which education credits and deductions you qualify for as a graduate student, since many generic student tax guides exclude stipends from their examples.